



QATIP Intermediate

Azure Lab03a

Service Principles

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Overview

This lab introduces secure, least-privilege access using **Azure Service Principals (SPs)**. You will:

- Create a Service Principal with limited permissions scoped to the subscription
- Use SP credentials via environment variables
- Run Terraform operations and observe RBAC restrictions
- Upgrade permissions and reattempt deployments

Before You Begin

1. Navigate to the lab directory: **cd c:\azure-tf-int\labs\03a**

Phase 0 – Create a Limited-Service Principal

Purpose

What we are doing:

We are creating a new **non-human identity** (Service Principal) that will be used to run Terraform, representing a **limited automation identity** — as might be used in CI/CD pipelines.

Why it matters:

Rather than using our full-access lab account, we want to simulate **realistic access boundaries** — mimicking how secure organizations prevent developers and automation tools from having unrestricted rights.

Environment variable usage:

Instead of hardcoding secrets, we inject them into the environment. This aligns with DevSecOps best practices and is supported natively by the Terraform AzureRM provider.

Steps

1. Update line 2 of **main.tf**, replacing **<your subscription id>** with your lab subscription id.
2. Create the Service Principal with Reader access, scoped to your subscription (replace **<sub_id>** with your lab subscription and **<4 digits>** with 4 random digits of your choice):

```
az ad sp create-for-rbac --name terraform-sp-<4 digits> --role Reader  
--scopes /subscriptions/<sub_id>
```

3. Note down the displayed output as you will need it later and then create the following environment variables;

```
$env:ARM_CLIENT_ID = "<appId>"  
$env:ARM_CLIENT_SECRET = "<password>"  
$env:ARM_SUBSCRIPTION_ID = "<your subscription id>"  
$env:ARM_TENANT_ID = "<tenant>"
```

4. Adopt the SP identity:

az logout

az login --service-principal --username \$env:ARM_CLIENT_ID --password=\$env:ARM_CLIENT_SECRET --tenant \$env:ARM_TENANT_ID

You should see "type": "servicePrincipal" in the output.

Phase 1 – Run Terraform With Limited SP Identity

Purpose

What we are doing:

Attempting to deploy infrastructure using Terraform under this limited SP identity.

Why it matters:

This phase is expected to fail — and that is intentional. It highlights that simply authenticating to Azure is not enough; **role assignments define what you are allowed to do**. It also encourages developers to review error messages meaningfully and connect failures to permissions.

Steps

1. Run **terraform init** and then **terraform plan**

Note: If planning seems to hang (allow 1-2 mins) then perform the following actions:

Use Ctrl+c to break out of planning. You may see errors.

Delete the entire **./terraform** folder

Delete file **.terraform.lock.hcl**

re-run **terraform init**

re-run **terraform plan**

2. Expect Terraform planning to **fail** with authorization errors.

Phase 2 – Assign Contributor Role to the Service Principal

Purpose

What we are doing:

Temporarily switching back to the lab account to assign Contributor rights to the SP.

Why it matters:

This demonstrates the **RBAC model in action** — where a principal's capabilities change dynamically based on role assignments. It mirrors how platform teams might approve temporary elevated access to unblock automation or development pipelines.

Steps

1. Re-adopt your lab identity:

```
az logout  
az login
```

2. Inserting your App id and Subscription id, run:

```
az role assignment create --assignee <appId> --role Contributor  
--scope /subscriptions/<sub_id>
```

3. Re-adopt the SP identity:

```
az logout  
az login --service-principal --username $env:ARM_CLIENT_ID --  
password=$env:ARM_CLIENT_SECRET --tenant $env:ARM_TENANT_ID
```

4. Retry:

```
terraform plan
```

Note: If planning seems to hang (allow 1-2 mins) then perform the following actions:

Use Ctrl+c to break out of planning. You may see errors.
Delete the entire **./terraform** folder
Delete file **.terraform.lock.hcl**

re-run **terraform init**
re-run **terraform plan**

terraform apply --auto-approve

5. Terraform should now **succeed**. Use the Azure Portal to view the new resources.

6. Run **terraform destroy --auto-approve** to remove the resources.

7. Identify the App registration object id (replace <appid> with your App id)...

az ad sp show --id <appid> --query "{ objectId:id}" -o table

8. Attempt to delete the Service Principal...

az ad sp delete --id <object id>

9. Attempt to delete the App registration...

az ad app delete --id <appid>

10. The deletion attempts should fail because the Service Principal being used does not have sufficient permissions.

11. Re-adopt your lab identity:

az logout

az login

12. Delete the Service Principal... **az ad sp delete --id <object id>**

13. Delete the App registration... **az ad app delete --id <appid>**

14. Delete local environment variables... **Remove-Item Env:ARM_***

Congratulations, you have completed this lab

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